

Introduction to Microeconomics
Lecture 1—The Economic Method

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ECON101
Fall 2023

Why not have more ECON 101 sections?

Should there be 6 sections of ECON101 or only 1?

Students learn more effectively in smaller classes.

But smaller classes are also more expensive.

Faculty salary + Usage of classroom (electricity, heating, IT support, etc.): \$ 45,000 USD.

Per student cost :

- One section $\$45,000/150 = \300 .
- Six sections (25 students per section) $\$45,000/25 = \1800 .

Would society (the tax payers) be willing to pay the extra \$1500 to switch from one section to six?

The Scarcity Principle (also called the There-is-no-free-lunch principle)

Although we have unlimited wants and needs, the resources available to us are limited. So having more of one good thing usually means having less of another.

This is the ♥ of the Economic problem!→ This means there are trade-offs: if you want more of one thing you need to give up another.

Microeconomics

Microeconomics entails the study of how people choose under scarcity.

The Rationality assumption

People have preferences/goals, and try to fulfill them as best as they can.

Cost-Benefit analysis

Should I do activity x ?

- $C(x)$ = the cost of doing x .
- $B(x)$ = the benefits of doing x .
- If $B(x) > C(x)$, do x , otherwise, do not.

Can cost-benefit analysis help you make better decisions?

Should you get up to change the turntable?

You are a music connoisseur and you have settled into a comfortable chair after putting a vinyl album in the turntable. Then you realize that the next two tracks on the album are ones you hate. If instead of listening to the album in vinyl, you used Spotify, you could have programmed a playlist omitting the tracks you dislike. But you didn't, so now you must decide whether to get up and skip the tracks manually, or stay put and wait it out.

- Suppose that $C(x) = \$1$, which is the minimum amount it would take to get you out of your chair.
- $B(x)$ is the maximum you would be willing to pay someone to turn down the volume.

If $B(x) > \$1$, then get up to skip the tracks. If $B(x) < \$1$, then don't.